CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E4BC39478
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Elizabeth Sager <elizabeth.sager@enron.com>
Sent: Wed, 13 Sep 2000 08:17:00 -0700 (PDT)
To: melanie.gray@weil.com <melanie.gray@weil.com>
Subject: Re: PCA Arbitration Provision

Melanie

In general, Enron would prefer all matters with respect to power go to arbitration for all issues. When we first started trading power we limited arbitration because we were uncertain where/how the market was going. Accordingly, we limited arbitration to financial matters only. I only raised the issue last week because the scope of arbitration came up in another case and we were uncertain whether an issue of proper termination would be subject to the arbitration provision or not. In conclusion, based on today's policies (arbitrate everything), I would not think that there would be any reason for us to be concerned with preserving an argument of limited applicability of the arbitration language found in the PCA Master.

I briefly reviewed your draft answer and will fax the comments to you shortly.

Thanks
Elizabeth

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E4BC39478
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-102687084678